Congress to address debt ceiling in lame duck or after

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Trump's drone tariffs will receive muted Chinese response

Congress to address debt ceiling in lame duck or after The US debt load is set to pass $40 trillion in the coming weeks, much earlier than the Congressional Budget Office anticipated earlier this year; the earlier-than-expected crossing of the threshold is down largely to lower tariff receipts and high tariff refund payments (please see "Lower tariff rates risk sharper deficit increase" in This week in polling: Forecasters favor Democrats in Senate , 13 August 2026).

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Running up the deficit faster means the US will hit the $41.1 trillion debt ceiling earlier than anticipated. That could come early next year, though major analysts haven't released forecasts, and it's unclear how far the federal government could push the "X-date" through the use of extraordinary measures.
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An earlier X-date, a recent push by President Trump to address the limit sooner, and the need for a defense funding package later this year are all combining to create an opportunity—though not a guaranteed one—for the unified Republican government to raise the limit before the next Congress takes office in January.
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Attaching a debt-limit hike to a reconciliation bill aimed mostly at supplemental defense spending in the lame-duck session in December is likely the most ambitious and time-efficient manner to address the issue, but a "clean" hike, not tied to other legislation, is also possible. Republicans could get moderate Democratic votes on board in both chambers if Trump does not make a hike contingent on other legislation, such as the SAVE America Act.
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Leaving the debt limit to a likely divided government after the midterms might not be ideal from the standpoint of Republicans, as it would provide Democrats with a clear source of leverage over other

policy negotiations. Even in this case, though, a debt-ceiling increase likely wouldn't involve major hitches; Democratic congressional leadership is reluctant to hold the debt ceiling hostage.

Reducing exercises with South Korea will not move the needle with North Korea. Over the weekend, President Trump instructed Defense Secretary Pete Hegseth and the Pentagon to reduce joint exercises with South Korea. The announcement is tied to South Korea's resistance to join military operations in the Strait of Hormuz and President Trump's desire to warm relations with North Korea.

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This not a new tactic for Trump: he has long doubted the value of large-scale joint exercises, viewing them as costly and unnecessary. Trump reduced and suspended joint US-South Korea exercises in his first term to appease North Korea.

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US-South Korea relations have worsened in recent months over a series of irritants, including investments in the US and intelligence sharing, culminating in the recent break over Iran.

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Rapprochement with North Korea remains unfinished business for Trump, but this announcement is unlikely to significantly improve diplomatic efforts. North Korean leader Kim Jong-un remains in a strong negotiating position and has communicated that reducing military exercises is not sufficient to resume talks.

Trump's drone tariffs will receive muted Chinese response. On 13 August, Trump announced new Section 232 tariffs on drones and drone components. The tariffs disproportionately impact Chinese-manufactured drones, as lower rates of 10-15% apply for economic partners with trade deals, including the UK, EU, Japan, and South Korea.

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The new tariffs would place 100% duties on the most security-sensitive drones and components, and a 25% rate on smaller drones, including avenues for relief for firms committing to US production.

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While US firms will feel near-term cost pressure, broader component tariffs are currently delayed for six months and should soften the immediate cost impact on US manufacturers. Exposure is dispersed across Mexico, Canada, Vietnam and Malaysia rather than solely in China, but the measures still disproportionately target China-linked supply chains given the significant role of Chinese firms, technology and capital in third-country production.

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While creating short-term turbulence in the bilateral relationship, the tariff announcement is unlikely to jeopardize the upcoming Xi summit. However, China will almost certainly retaliate either with tit-for-tat tariffs on certain US products or expanding export controls on US drone manufacturers benefitting from these tariffs.

Quote of the Day

"[Ossoff's] speeches are just really optimized for clipping … Really any speech should be, because at the end of the day you're talking about maximizing clippable sound bites." – Michael Vainisi, a Democratic content strategist, quoted in Politico, on Senator Jon Ossoff's (D-GA) onslaught of campaign speeches focused on criticizing the Trump administration. Chopped up and circulated on vertical-video platforms, the speeches are raising Ossoff's profile as a potential 2028 presidential nominee, especially among

Democratic strategists who view the senator's content strategy as ideally-suited to reaching young voters.

On the Radar

27 July – 28 August: House on recess

10 August – 14 September: Senate on recess

19 August: Section 338 tariffs on Canada go into effect

1 September: Massachusetts primaries

9-10 September: GOP midterms convention

18-28 September: High-Level Week at UN General Assembly

30 September: Government funding runs out

3 November: National midterm elections

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